



Third-Party Determination

GUIDELINES

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Beem
CREDIT UNION

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1 Purpose

This document is intended for all staff who open and maintain/manage memberships or accounts and conduct transactions for those memberships. Under Proceeds of Crime (*Money Laundering*) and Terrorist Financing Act (*PCMLTFA*) and its Associated Regulations, the Credit Union is required to take reasonable measures at certain times to make a third-party determination.

This guideline outlines when Credit Union staff must make a Third-Party determination.

2 Overview

A third-party is a person or entity that instructs another person or entity to conduct a transaction or activity on their behalf. As such, the third-party who is instructing the transaction or activity is understood to be the party that the transaction occurs “on behalf of” and for whom the transaction or activity is benefiting.

When determining whether a third-party is involved, it is not about who “owns” the money, but rather about who gives instructions to deal with the money/transaction. To determine who the third-party is, staff must inquire whether the individual in front of them is acting on someone else’s instructions. If so, that someone else is the third-party.

Credit Union staff must take [reasonable measures](#) to determine whether a third-party is involved when carrying out certain transactions or activities, see [when to make a third-party determination](#).

Through investigation of Money Laundering and Terrorist Financing transactions, regulatory bodies have observed that third parties have been used to facilitate money laundering and terrorist financing activities. It is not uncommon for criminals to use third parties as a method to evade detection by distancing themselves from proceeds of crime.

By ensuring that third parties are identified appropriately the Credit Union can understand whether a transaction is in line with KYM information.

3 Reasonable Measures

Credit Union staff must take reasonable measures to ascertain whether a third-party is involved in a transaction or activity.

Reasonable measures can include:

- Asking the individual if they are acting at the instruction of another person or entity or asking whether another person or entity will be instructing on the account.
- Reviewing the details surrounding a transaction for flags that a third-party may be involved
- Examples:
 - Payment details of a wire transfer reference “for further credit to”;
 - A cheque payable to one individual is endorsed and negotiated by another individual

- A member states that “a friend” has instructed them to deposit cash to their account
- During a loan application the applicant states that they are looking to borrow funds on behalf of someone else

4 Third-Party Record Keeping

If it is determined that there is a third-party involved in a transaction or activity, staff must complete a Third-Party Declaration form 1914 and ensure that appropriate information is collected based who the third-party is.

Records of third-Party determinations and information collected must be kept for at least 5 years from the date the determination was made.

4.1 Person Details

If the third-party is determined to be a person, reasonable measures must be taken to collect and record the following information:

- Name
- Address
- Telephone number (*except for Large Cash Transactions*)
- Date of Birth
- Occupation
- Relationship between the third-party and the conductor/account holder

4.2 Entity Details

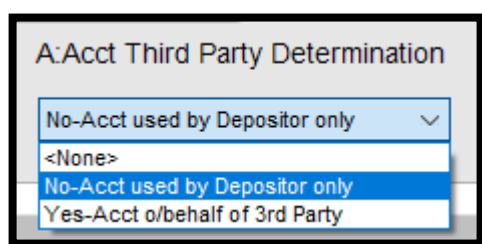
If the third-party is determined to be an entity, reasonable measures must be taken to record the following information:

- Name
- Address
- Telephone number (*except for Large Cash Transactions*)
- Nature of principle business
- Registration/Incorporation number, including:
 - Jurisdiction of issuance (*Country and Province/State*)
- Relationship between the third-party and the conductor/account holder

4.3 Recording Third-Party status in Banking System

At account or membership opening, if a third-party account or membership has been identified the information must be recorded in the banking system appropriately.

1. Open the appropriate relationship profile in banking system
2. Navigate to applicable account **Deposit Maintenance Screen** (*double click on account*)
3. **Open Maintenance → Account Fields**
4. Complete **Third-Party Field 3PTY – Acct Third-party Determination**



5 Third-Party Determination

5.1 Triggering Events

The Credit Union must take reasonable measures to make a third-party determination during the following Triggering Events:

- Membership opening
- New account opening
- Conducting a large cash transaction over \$10,000
- Conducting an electronic funds transfer over \$1,000

A complete list of Triggering Events can be reviewed by referring to the [Triggering Events Guidelines](#)

5.1.1 Membership/Account opening

The Credit Union must take reasonable measures to determine whether an account will be used by, or on behalf of, a third-party.

See [Personal Membership Guidelines](#), [New Personal Membership Procedures](#)

Business Membership Guidelines given below -

- [Corporate Membership Guidelines](#)
- [Government Account \(Election, Lottery, ICBC Agents\) Guidelines](#)

- [Incorporated Society Membership Guidelines](#)
- [Joint Venture Arrangement Guidelines](#)
- [Partnership Membership Guidelines](#)
- [Sole Proprietorship Guidelines](#)
- [Unincorporated Association Membership Guidelines](#)
- [New Business Membership Procedures](#)

5.1.2 Large Cash Transaction

When the Credit Union receives cash in an amount of \$10,000 or more, staff are required to take reasonable measures to determine whether the person conducting the cash deposit is acting on behalf of a third-party.

See [Large Cash Transaction Reporting \(LCTR\) Guidelines](#)

5.1.3 Electronic Funds Transfer

The Credit Union must take reasonable measures to determine whether any person or entity on whose behalf an Electronic Funds Transfer is being requested or received.

Refer to [Wire Transfer Guidelines](#)

5.2 Refusal to Provide Third-party Information

If the Credit Union suspects that an account may be used by, or on behalf of, a third-party, and the individual refuses to provide information or makes a false statement, the information should be reported in an Unusual Activity Report and submitted to the AML Compliance Team for review. Refer to Unusual Activity Reporting Guidelines and Procedures

If an individual refuses to complete the third-party determination during membership opening escalate the situation to the AML Compliance Team before proceeding to open the membership.

5.3 Enhanced Due Diligence Measures

When staff identify an account or membership that has a third-party status, the AML Compliance Department must be notified by email to conduct a review and risk assessment of the membership.

A risk assessment will be conducted by the AML Compliance Department to determine whether the membership would be high-risk or whether additional Enhanced Due Diligence measures would be applied.

Some Enhanced Due Diligence measure may include:

- Reconfirming third-party information on a regular basis, or confirming third-party direction on all transactions
- Potential service restrictions may be applied to the membership (*ex. wire transfers may be restricted, e-transfer services may be disabled, etc.*)

- Annual review of all transaction activity will be required and information provided to the AML Compliance Department

6 Third-Party Account Types

There are certain types of accounts that may be inclusive of whether a third-party will be involved.

6.1 Account Roles

The following would not be determined to be acting on behalf of a third-party solely based on the role or account:

- A Trustee on a personal trust because the beneficiary does not direct the account activity
- An Executor or Administrator of an estate
- Either a will or statute governs what is to be done with the funds in the estate. The beneficiaries, in almost all cases, do not instruct the Executor or Administrator on what to do with the funds
- A Committee of an incapable adult as the Committee is acting for the adult, but is not taking instructions from the adult
- A Power of Attorney (POA) as the POA is acting as the donor, and in most cases is not taking instructions from the donor
- A government account

A Third-party determination must still be made on these types of accounts as there may be an unknown third-party related to the account or transactions.

6.2 Third-Party Accounts

The following membership types are usually opened to facilitate transactions on behalf of third parties:

- | | |
|---|--------------------------------------|
| • Victim's Trust Account | • Strata Corporation Trust Account |
| • Notary Trust Account | • Collection Agents Trust Account |
| • Brokerage Trust Account | • Travel Agents Trust Account |
| • Rental Property Manager Trust Account | • Motor Dealers Trust Account |
| • Strata Management Trust Account | • Election and Constituency Accounts |

For these accounts, staff are required to collect a Third-Party Statement, ensuring Section C is completed in full.

6.3 Exempt Third-party Accounts

The following accounts are exempt from third-party record-keeping requirements, provided there are reasonable grounds to believe the account is to be used only for clients.

- Legal Counsel - Solicitor/Barrister
- Accountant – Must be a Certified General Accountant
- Real Estate Broker or Sales Representative

For these accounts, staff are required to collect a Third-Party Statement, ensuring Section B is completed in full and the required supporting document is collected.

7 Version History

DATE	VERSION	CHANGE
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